

FEDERAL MARITIME COMMISSION

INFORMAL DOCKET No. 1943(I)

Yemi O. Orolugbagbe,
Claimant

v.

A.T.I., U.S.A., Inc., and its officers Ricardo Suarez, Marcos Vaz,
Pilar Rodriguez, and Monica Monsalve,
Respondents

INITIAL DECISION

Decision of Zoraya B. De La Cruz, Settlement Officer¹

ATI violated 46 U.S.C. § 41102(c) and is directed to pay reparations in the amount of \$215 plus interest and to release Claimant's vehicle.

Yemi O. Orolugbagbe (Claimant) initiated this proceeding on May 19, 2014, by filing a claim against A.T.I., U.S.A., Inc. (ATI or Respondent), a licensed non-vessel operating common carrier (NVOCC), organization number 012178. Claimant alleges that ATI violated 46 U.S.C. §§ 41102(c) and 41104(3) by failing to ship or deliver a vehicle for ocean transportation aboard a vessel operating common carrier (VOCC) after Claimant paid ATI ocean freight charges for such services and refusing to do so as retaliation for filing a complaint with the Office of Consumer Affairs and Dispute Resolution Services (CADRS) in September 2013. Claimant seeks reparations in the amount of \$1,355 (charges it paid to ATI on or around April 5, 2013), \$280 (storage

¹ Both parties having consented to the informal procedure set forth in 46 C.F.R. §502 Subpart S.

charges paid to ATI), plus an additional \$1,100 (storage paid to Insurance Auto Auction (IAA))², and \$10,000 (lost profit and damages), and shipment of Claimant's vehicle that ATI continues to hold in its possession.

In its response, ATI denies all allegations by Claimant.³ ATI states that it agreed to ship a *fully operational* vehicle, not a non-running unit (emphasis added). ATI continues to hold one vehicle owned by Claimant until all storage charges are paid.

The evidence provided by Claimant does support part of his allegations and claims for reparations. I find that ATI violated 46 U.S.C. § 41102(c) and that this violation is the proximate cause of part of Claimant's injury. As a result, Claimant is awarded \$215 in reparations.

BACKGROUND

Claimant made two bookings. The first shipment began in December 2012 and involved four Honda Accords that were ultimately shipped in a container from New York to Lagos, Nigeria. The second shipment involved another Honda Accord that was initially intended to go from Newark, New Jersey to Lagos, Nigeria in April 2013.

A. Shipment from New York, NY to Lagos, Nigeria

Claimant first inquired about shipping non-running auctioned vehicles with ATI on or around December 18, 2012. Claimant initially spoke with Pilar Rodriguez, an employee for ATI, who notified Claimant that ATI was able to hire a trucker to pick up said types of vehicles at a designated location and that she knew of a VOCC that would

²IAA is the auction company from which Claimant purchased all vehicles.

³ The Response to the Claim was due June 16, 2014. The Settlement Officer sent an email on June 25, 2014 to Respondent trying to confirm he did not intend to respond. Respondent requested an extension until June 27, 2014, stating he had been out of the office on a trip and did not receive the Claim until June 25, 2014. The extension was granted until June 30, 2014. The Settlement Officer did not receive the response until July 9, 2014 and sent a copy to Claimant because Respondent failed to do so, in accordance with 46 C.F.R. § 502.304 (e) (2013). The Response also contains an error in the verification, which was dated April 11, 2014; presumably, this is a typo.

carry said type of vehicles; Sallaum Lines would carry said types of vehicles from the Port of Bayonne. Both parties appear to have spoken about various options, including the possibility of repairing the vehicles prior to loading, as well as the possibility of loading multiple vehicles in a container. These additional options would allow for booking with additional VOCCs and possibly securing lower freight charges.

Initially, Claimant accepted the option to ship the non-running vehicles on a roll-on/roll-off (RO/RO) vessel. On Friday, December 21, 2012, Claimant emailed “pull-out” documents to ATI so it could pick up two vehicles⁴ from IAA at 66 Pecomic Avenue, Medford (Long Island), New York. In this email, Claimant requested the vehicles be picked up immediately to avoid storage charges being assessed by IAA and notified ATI that IAA would be open on Saturday from 7 a.m. to 4:30 p.m. Claimant also requested that the vehicles be taken to either ATI’s warehouse or ATI’s mechanic – whichever location that would allow for the vehicles to be repaired because they were non-running, flooded cars. Claimant notified Ms. Rodriguez that there would be two “other cars to be picked up as well.”⁵

Pilar Rodriguez notified Claimant on Saturday, December 22, 2012, that the RO/RO vessel option was no longer available, so Claimant then agreed to ship the four Honda Accords in one forty-foot container.⁶ On Monday, December 24, 2014, Claimant

⁴ All five vehicles are Honda Accords. Two vehicles were located in Medford, Long Island and were 2009 and 2010 models (Vehicle Identification Numbers (VIN): 1HGCP268X9A134590 and 1HGCP2F86AA169213 respectively); two vehicles were located in Calverton and they were 2011 (VINs: 1HGCP2F65BA046129 and 1HGCP2F82BA042766) models – all shipped in one container; and the fifth vehicle was a 2010 (VIN: 5KBCP3F85AB005240) model – continues to be stored at TRT warehouse.

⁵ Claim, Ex. 4, at no. 48.

⁶ Sallaum Lines notified ATI on Thursday, December 20, 2012, that it would not accept non-running vehicles out of the Bayonne Port. It is unclear whether ATI ever discussed the possibility of shipping these types of vehicles out of Boston or Baltimore with Claimant, additional ports at which Sallaum Lines called. It is also not clear whether Sallaum Lines would carry said types of vehicles at these other locations. Presumably, the trucking costs would have been greater.

requested the second set of vehicles be picked up at IAA's other location at Airport B, 901 Burman Blvd., Calverton, New York.⁷ Claimant stated he would fax the pullout documents later that day.

Respondent provided text messages that were sent between Ms. Rodriguez and Claimant. On Monday, December 24, 2012, one text message confirms that Claimant faxed the pullout documents for all four vehicles and again asked to have the vehicles picked up that day. Ms. Rodriguez responded that she had not received any calls from any truckers willing to pick up the vehicles that day. On December 26, 2012, Claimant reminded Ms. Rodriguez that the four cars needed to be picked up and he requested the phone number for the mechanic Ms. Rodriguez had mentioned. Ms. Rodriguez confirmed that the driver would pick up two vehicles in Calverton, New York. When Claimant asked about the two vehicles in Medford, Ms. Rodriguez did not respond to the question, but asked to confirm the VIN numbers for the vehicles in Calverton. Claimant asked for the mechanic's number again and additionally, whether Ms. Rodriguez knew an "after market for Honda cars body parts shops in NJ and NY area?" The next day, Claimant asked the same question, because he has been unable to find such a shop in New York or New Jersey.

On December 28, 2012, Claimant texted Ms. Rodriguez that only one car from Calverton was reported to be picked up. Ms. Rodriguez responded that she paid for two units to be transported and that the warehouse verified two were received. Ms. Rodriguez stated she would inquire further next Wednesday (January 2, 2013). Later that day, Ms. Rodriguez sent an email to Claimant explaining that she had been unable to book a trucker to pick up the vehicles in Medford due to the holidays and a snowstorm affecting

⁷ These two Honda Accords were the two 2011 models.

the local area. Ms. Rodriguez stated there were so many flooded cars in Long Island that most of the drivers were fully busy, so the only driver she found could not pick up the Medford cars until next Wednesday.

At that point, Claimant secured his own trucker, but contacted ATI to compare the rates quoted to him versus the rate quoted to ATI by the trucker that could pick up on Wednesday. In a text message on Saturday, December 29, 2012, Claimant provided contact information for a trucker that could pick up the cars in Medford that same day. Ms. Rodriguez responded that she did not work on weekends and his driver would have to deliver the cars to the warehouse⁸ on Monday, December 31, 2012, not to ATI's office because they would be closed. Ms. Rodriguez also stated that Claimant would have to pay the driver directly, to which Claimant responded that he could not pay the trucker directly, as Claimant was in California.

On January 1, 2013, Claimant confirmed the driver would pick up the Medford vehicles and deliver them the next day to the warehouse. Claimant would have to pay \$200 per vehicle for the trucking and \$600 in storage, in addition to paying \$100 for storage on one of the cars that was in Calverton.⁹ Claimant asked Ms. Rodriguez how much ATI would contribute toward the additional storage charges he incurred at IAA, because he had planned to use that money to pay for the car parts needed to repair the vehicles. She responded that ATI paid the trucker for two vehicles, and was unsure why both were not picked up; she stated she would talk to the warehouse the following day.

⁸ The warehouse referenced is T.R.T. International, Ltd. (TRT), a licensed NVOCC, organization number 020973, which also maintains three warehouse operations, including one at the Port of Newark. <http://usart.com/Home/LogisticServices>.

⁹ IAA initially charged \$25 per day to store a vehicle. Claimant paid \$1,000 for storing the two Medford vehicles (12/21/12 to 1/2/2012) and \$100 for one of the Calverton vehicles (12/24/12 to 12/28/12). Claim, Ex. 3(a). Claimant explains IAA granted two free days and after Christmas, started to charge \$50 due to lack of space to store cars. Claim, p.8.

On January 4, 2013, Claimant sent a text accusing Ms. Rodriguez of avoiding his calls. He again asked her how much ATI would pay for the additional charges incurred. Three days later, Claimant emailed Ms. Rodriguez repeating his request. Ms. Rodriguez responded that ATI would not pay for any portion of the additional storage charges incurred at IAA.¹⁰

On January 16, 2013, all four vehicles were loaded into a forty-foot container and said container was in turn loaded onto a CMA CGM vessel in the Port of New York bound for the Port of Tin Can Island, Lagos, Nigeria. On the same day, ATI issued an invoice that included freight (\$3,000), warehouse (\$790),¹¹ and transport charges for the two Calverton vehicles (\$400).

On February 26, 2013, Claimant sent an email directly to Mr. Furfaro, an employee of ATI,¹² stating that he paid all of the charges except the \$400 for transport of the vehicles, and he wanted Respondent to send a telex release for the container that had arrived in Lagos. Claimant finally paid the total amount (\$4,190), which included the transport charges, on March 7, 2013, and the container was immediately released.

As part of the response, Mr. Furfaro confused the facts in his email to Claimant on March 5, 2013 and assumed the text messages were the only communications between Claimant and Ms. Rodriguez. Mr. Furfaro argued that Claimant did not instruct Ms. Rodriguez about the vehicles until December 24, 2012 and due to the holiday, the cars in Calverton were picked up the next business day, December 26, 2012. He stated that the

¹⁰ Claim, Ex. 4, at nos. 60 and 62.

¹¹ Claimant referred to these charges as storage fees, but the invoice states warehouse charges. TRT assessed the warehouse charges, which would include in/out fees and charges to prepare the vehicles for transport in the container (strapping, etc.).

¹² Oscar Furfaro is the qualifying individual and President of ATI; Ricardo Furfaro signed the response on behalf of ATI.

two Calverton vehicles were delivered to the warehouse on December 31, 2012. The other two Medford cars were delivered January 3 (2009 model) and 5 (2010 model), 2013, and that the cars were loaded on January 13, 2013, and shipped on January 19, 2013. Claimant was invoiced on January 16, 2013, but did not fully pay until March 7, 2013.

Mr. Furfaro also stated that Grimaldi Shipping Line (Grimaldi) would not accept non-operational vehicles for shipment and that Claimant failed to remove the vehicle from the warehouse or bring additional vehicles for shipment in a container.

B. Intended Shipment from Newark, New Jersey to Lagos, Nigeria

ATI continues to hold a fifth vehicle, another Honda Accord, which Claimant booked in February 2013. It is unclear from the evidence submitted whether Claimant notified ATI that he would be tendering another non-running vehicle. On February 6, 2013, Claimant tendered a vehicle to the TRT warehouse in Newark, the same warehouse that handled the prior vehicles. ATI was unable to confirm receipt of the vehicle until sixteen days later (February 22, 2013) when Ms. Emilia Ugarte, an employee of ATI, sent an email stating that the vehicle entered TRT's warehouse, but was logged in "under TRT company."¹³

On March 5, 2013, Ms. Monica Monsalve, another employee of ATI, asked Claimant whether he wanted to send the vehicle by RO/RO or container. She also stated that the car would go into storage in two days and would be charged \$5 per day per car.¹⁴ Claimant responded that he would send it RO/RO, but he still needed to purchase two parts to send with Grimaldi. He also disputed the \$5 per day storage charge, because he

¹³ Claim, Ex. 4, at no. 39.

¹⁴ From this statement, the Settlement Officer acknowledges that Claimant was being given 30 days free storage, but would be charged \$5/day starting March 7, 2013.

had not been told that there would be storage charges prior to tendering the vehicle to the warehouse. Ms. Monsalve emailed ATI's RO/RO department requesting it assist Claimant in sending the vehicle with Atlantic Container Line (ACL).

On the same day, Mr. Marco Vaz, an ATI employee in the RO/RO department, emailed Claimant a form to book the shipment, and asked for the "condition of the vehicle and the status of the title."¹⁵ ATI requested \$400 for outstanding transport charges owed from the previous shipment, which ATI had incurred to pick up the two vehicles in Calverton. On March 7, 2013, ATI issued a document entitled, "reservation/shipping instructions" for the vehicle, which appears to be similar to a booking confirmation. On March 13, 2013, Claimant sent the shipping instructions back to Mr. Vaz.

On March 19, 2013, ATI issued an invoice to ship the vehicle from New York to Lagos for \$900 (freight), \$75 (TRT gate fees), \$280 (56 days of storage), and \$100 (delivery).¹⁶ On April 2, 2013, Claimant sent an email to Mr. Furfaro and Mr. Vaz asking about the status of the shipment and complained that ATI employees "that you [Mr. Furfaro] directed to inform me have been silent on the matter. I need to know that you have sent the car to arrange payment for the shipment and other reasonable charges."¹⁷ Claimant paid the invoiced amount of \$1,355, on or around April 5, 2013. On April 17, 2013, Claimant emailed Mr. Furfaro, in response to which he received "an out of the office until April 18th" message. On April 30, 2013, Claimant emailed asking what was going on with his car, as he had not spoken with Mr. Vaz for the last two weeks.

¹⁵ Claim, Ex. 4, at no. 41.

¹⁶ The invoice has a box that states "PORT" and then "NYC/LOS" below it. Claim, Ex. 2. The 56 days of storage appear because the vessel sail date was going to be April 19, 2013. The 56 days began to toll on February 22, 2013 and ended on April 18, 2013. If Claimant had been given 30 free days of storage, as indicated in Ms. Monsalve's email, Claimant should have been charged starting March 8, 2013, for a total of 42 days. The vessel listed on the invoice was the *Grande Gabon*, a RO/RO ship, and part of Grimaldi's fleet.

¹⁷ Claim, Ex. 4, at no. 36.

On May 1, 2013, Claimant emailed Mr. Furfaro that he had just spoken with Mr. Vaz who had told him that his car was rejected at the loading port for not being in shipping condition. He asked Mr. Furfaro how the vehicle could still be shipped to Nigeria. The following day, Mr. Furfaro responded, stating, "If you have an additional 3 cars we can place it in a container, if not we must consolidate the car with any of our shippers who actually place cars of several different shippers in the same container."¹⁸ Claimant responded that he did not have other cars to ship, and that ATI employees (Pilar, Monica, and Melanie) were aware of this fact.¹⁹ Claimant wrote that he would agree to ship the vehicle with other shippers as long as it would be shipped on a Grimaldi vessel. Mr. Furfaro replied, "Will figure it out tomorrow."²⁰

On July 11, 2013, Claimant sent an email to Mr. Furfaro stating that he had not heard anything back from Mr. Furfaro.²¹ He asked how much it would cost to truck the car to Atlanta, GA and whether ATI shipped vehicles from Atlanta to Nigeria.²² On September 17, 2013, Claimant contacted CADRS and filed a complaint against Respondent. Ms. Dike was assigned to the matter. On September 18, 2013, Claimant asked Mr. Vaz to send the invoice as he had promised. On October 22, 2013, Claimant emailed both Mr. Furfaro and Mr. Vaz again, stating, "After having called you at your office numerous and sending e-mails to you without getting your response, I [am] writing you again to know the status of my car, as you would not let me know what you have done or are to do with my car."²³

¹⁸ Claim, Ex. 4, at no. 21.

¹⁹ Claim, Ex. 4, at no. 22.

²⁰ Claim, Ex. 4, at no. 23.

²¹ Claim, Ex. 4, at no. 29.

²² From further emails, it appears Mr. Furfaro may have been out of the office for an extensive period and that Claimant was unable to get any further response from any ATI employees.

²³ Claim, Ex. 4, at no. 34.

Mr. Furfaro responded to Claimant and Ms. Dike on October 23, 2013, stating,

The car in question is in the warehouse facility we use for container loading; the same is a non-running vehicle and the ro/ro lines do not accept non-running vehicles as you were stated for long. We do not consolidate cars within container into any West African port. As far as I know, the vehicle has been accruing storage at the warehouse for long and you have never supplied additional cargo in or to fulfill a 40ft. container.²⁴

It is uncertain what additional communications transpired between the parties, but it is evident that the parties did not resolve the dispute at that time because nearly two months later, on December 14, 2013, Claimant again asked ATI about the status of his vehicle. On December 17, 2013, Mr. Furfaro asserted that Claimant's emails had gone to spam and stated "we cannot arrange for consolidation of vehicles to Lagos, we actually don't do so and none of the people that we know do it does not have our trust. Said that, the unit is still sitting at the warehouse and still accumulating storage. First I will find out what is the storage due on it by now." Mr. Furfaro sent another email the same day stating, "As of Dec 31, there will be 328 days of storage which comes to a total of \$3,280.00. You had a deposit of \$1,355.00 leaving a balance due just for the storage of \$1,925.00[.]"²⁵

The following day, December 18, 2013, Claimant responded that he was surprised ATI would charge storage and asked to have the car shipped without further charges if he could find other people who wanted to ship their cars. If a deal could not be worked out, he said, he might consider proceeding with litigation. Mr. Furfaro responded that he was not the one charging storage; it was the warehouse, TRT. He invited Claimant to go to court, as he already did not have success going to the Federal Maritime Commission (FMC or Commission). He stated, "You entertained yourselves with the FMC and

²⁴ The Commission was shutdown from October 1-16, 2013.

²⁵ Claim, Ex. 4, at no. 13.

arguing and did nothing to mitigate any damages know[ing] for a fact that the vehicle was being stored.” Claimant then responded that he was not aware the warehouse was not ATI’s, contrary to statements made by Ms. Rodriguez, and he had not been charged storage for the four vehicles that shipped earlier. Claimant explained how he had been trying to mitigate his damages, but that ATI’s staff had lost his car for over 3 months.²⁶ Claimant also stated that this was the first time he was being told ATI did not offer consolidation and “there was no line to do a shipment with for those types of vehicles” and asked why Mr. Furfaro had not explained this fact sooner – “Who is best able to know that? Why would you convey to me that you sort out consolidation for the car tomorrow for which I had a reliance?”²⁷ Mr. Furfaro replied that Claimant could have removed the vehicle back in February or even when he contacted the Commission’s Office of Consumer Affairs and Dispute Resolution Services (CADRS), and that, he knew of no warehouse that stored goods free. Mr. Furfaro finished by stating, “The fact is that the car is being stored, we can’t ship non-running vehicles, we do not consolidate cargo in container, we never did; and you have to remove the vehicle.”

DISCUSSION

Claimant has alleged Respondent violated two sections of the Shipping Act of the Shipping Act of 1984 (Shipping Act). I find that a violation of 46 U.S.C. § 41102(c) was committed by ATI and that the violation was the proximate cause of Claimant’s injuries, as required to award reparations to Claimant.

A. Section 41104(3)

²⁶ The evidence is not clear whether Claimant is referring to the 16 days ATI could not locate his vehicle or something else.

²⁷ Claim, Ex. 4, no. 16, question no. 5.

Pursuant to section 41104(3) a common carrier, “either alone or in conjunction with any other person, directly or indirectly, may not retaliate against a shipper by refusing, or threatening to refuse, cargo space accommodations when available, or resort to other unfair or unjust discriminatory methods.”²⁸ 46 U.S.C. § 41104(3). Based on the evidence submitted, Claimant has failed to demonstrate with sufficient facts that the carrier retaliated or resorted to discriminatory methods because the shipper filed a complaint with the Commission, or for any other reason. *See, DSW Int’l, Inc. v. Commonwealth Shipping, Inc.*, 31 S.R.R. 1850, 1864-1865 (FMC 2011). Respondent has placed a hold/lien on Claimant’s second shipment, but the hold was not in retaliation to filing a complaint with the Commission, as it began in March 2013, six months before Claimant filed his complaint with CADRS. Claimant alleged that Respondent continued to hold the fifth vehicle after Claimant paid freight charges and refused to release that vehicle until storage charges were paid in full. While there does appear to be some resentment by Mr. Furfaro that Claimant contacted the Commission, it does not appear to have changed the amount ATI charged Claimant, nor is it the basis for ATI’s failure to arrange for the ocean transportation of the fifth vehicle. Therefore, Claimant’s 46 U.S.C. § 41104(3) claim is dismissed.

B. Section 41102(c)

46 U.S.C. § 41102(c) states, “A common carrier, marine terminal operator, or ocean transportation intermediary may not fail to establish, observe, and enforce just and reasonable practices relating to or connected with the receiving, handling, storing, or delivering property.” ATI has a combined OTI license (NVOCC and ocean freight

²⁸ 46 U.S.C. § 41104(3) is the codification of section 10(b)(3) of the Shipping Act. The case citations that follow refer to this section of the Shipping Act.

forwarder); for the shipments relevant to this proceeding, I find that ATI acted as an NVOCC. The Shipping Act defines the term “common carrier” as “a person that . . . (i) holds itself out to the general public to provide transportation by water of passengers or cargo between the United States and a foreign country for compensation; (ii) assumes responsibility for the transportation from the port or point of receipt to the port or point of destination; and (iii) uses, for all or part of that transportation, a vessel operating on the high seas or the Great Lakes between a port in the United States and a port in a foreign country.” 46 U.S.C. § 40102(6)(A). ATI acted as an NVOCC for both shipments.

For the first shipment, the vehicles were loaded into a container and shipped from New York to Lagos; ATI arranged for and completed the ocean transportation and it was compensated for such services. ATI was listed as the shipper of record on the master bill of lading for the first shipment. ATI quoted its own port-to-port rate and ATI issued an invoice that included information usually provided in a booking confirmation. For the second shipment, ATI transported the vehicle to the pier on behalf of Claimant and took responsibility of the vehicle once the vehicle entered the third party warehouse, thus assuming responsibility at the point of receipt. ATI intended to provide part of the transportation on an ocean common carrier between a port in the United States and a port in a foreign country. I find ATI acted as a common carrier but did not operate a vessel and thus acted as an NVOCC for both shipments.

If a common carrier established just and reasonable regulations and practices, but fails to observe and enforce those regulations and practices, then it has violated 46 U.S.C. § 41102(c),²⁹ regardless of whether a single shipment or multiple shipments are involved.

²⁹ 46 U.S.C. §41102(c) is the codification of section 10(d)(1) of the Shipping Act. The case citations that follow refer to this section of the Shipping Act.

See Century Metal Recycling PVT. Ltd. v. Dacon Logistics, LLC dba Coda Forwarding, 33 S.R.R. 17, 19, (FMC 2013); *Best Way USA, Inc. v. Marine Transport Logistics*, 33 S.R.R. 13, 14 (FMC 2013); *Petra Pet, Inc. v. Panda Logistics Ltd.*, 33 S.R.R. 4, 9 (FMC 2013); *Smart Garments v. Worldlink Logix Services, Inc.*, 33 S.R.R. 65, 68 (FMC 2013); *Bimsha International v. Chief Cargo Services, Inc.*, 32 S.R.R. 1861, 1866 (FMC 2013); *Yakov Kobel v. Hapag Lloyd A.G.*, 32 S.R.R. 1720 (FMC 2013); *Paul Houben v. World Moving Services, Inc.*, 31 S.R.R. 1400, 1405 (FMC 2010); *William J. Brewer v. Saeid B. Marlan*, 29 S.R.R. 6 (FMC 2001); *Hugh Symington v. Euro Car Transport, Inc.*, 26 S.R.R. 871, 873 (ALJ 1993); *Tractors and Farm Equipment Limited v. Cosmos Shipping Co., Inc.*, 26 S.R.R. 788 (ALJ 1992); and *William R. Adair v. Penn-Nordic Lines, Inc.*, 26 S.R.R. 11 (ALJ 1991). To determine whether a violation of section 41102(c) occurred here it must be determined, (1) whether ATI had established just and reasonable regulations and practices when it received, handled, stored, and/or delivered Claimant's vehicles; and (2) whether ATI failed to observe and enforce just and reasonable regulations and practices when it received, handled, stored, and/or delivered Claimant's vehicles.

1. Shipment from New York to Lagos

For the first shipment, the evidence does not support finding a violation of the Shipping Act. It appears Respondent did establish reasonable practices by communicating with Claimant through various methods and trying to accommodate Claimant's requests in picking up certain vehicles, receiving the vehicles into the warehouse, storing them until all vehicles could be consolidated in one container, and delivering the container to Nigeria in a timely manner. Claimant may have received some

poor customer service at times, but the trucking arrangements were negotiated during the holiday time, and availability was exacerbated by poor weather conditions and increased demands for space to store non-running vehicles. ATI did not control the ocean common carrier Sallaum's refusal to carry non-running vehicles out of the Port of Bayonne. Although good customer service may have dictated checking whether Sallaum would transport such types of vehicles from Boston or Baltimore (especially when ATI could not find another ocean common carrier that would carry such vehicles), ATI did offer other options and Claimant accepted one of the options. ATI offered to assist Claimant with the trucking arrangements, but there is no evidence that it took full responsibility to provide such services. The documents submitted indicate that Claimant requested a port-to-port move, otherwise, he would have had to pay a higher freight rate. Respondent correctly charged Claimant for the trucking costs of the second set of vehicles (i.e., the cars picked up in Calverton). Considering all of these facts, I do not find a violation of the Shipping Act in regards to the first shipment.

2. Shipment from New Jersey to Lagos

In regards to the second shipment, I find ATI did violate 46 U.S.C. § 41102(c) by failing to observe and enforce just and reasonable practices. ATI argues Claimant delivered the vehicle to the warehouse rather than to the pier, and that the vehicle was delivered without prior notice to ATI. At the same time, no one disputes that the warehouse operator TRT accepted the vehicle, nor that the title to the vehicle was submitted with the vehicle. It would have been clear on the title who owned the vehicle; and when Claimant provided that the vehicle had been delivered to TRT's warehouse, it should not have taken ATI fourteen days to locate Claimant's vehicle. TRT appears to

have failed to provide a receipt to the trucker or to properly enter the fifth vehicle into the warehouse, thus not following their own (and industry's) established practices.³⁰

Mr. Furfaro responded to Claimant on October 23, 2013, that the ocean common carrier Grimaldi would not carry non-running vehicles to West Africa and that Claimant failed to remove the vehicle from TRT's warehouse or to bring additional vehicles to ship the vehicles in a container. Mr. Furfaro stated that ATI only agreed to ship a running vehicle by RO/RO. He explained that TRT is only used to consolidate goods for container cargo. ATI stated that Claimant should not have arranged for delivery of the vehicle to TRT, unless Claimant was going to tender other vehicles for loading into one container; rather Claimant should have taken the vehicle to the exporting pier if he intended it to go by RO/RO. Yet the evidence shows that whether there was or was not sufficient notice before delivery of the vehicle to TRT's warehouse, ATI accepted Claimant's vehicle and issued an invoice to Claimant on March 19, 2013.³¹ This document has a freight rate that appears to correlate to a less than container load rate (\$900 versus \$3,000 for the first shipment), identifies the vehicle would board a Grimaldi vessel, etc. It is disingenuous for Mr. Furfaro to state that ATI only agreed to shipping a fully operational vehicle when ATI issued the invoice after Claimant had submitted paperwork to Mr. Vaz on March 13, 2013, which would have included the condition of the vehicle (if TRT had not already noted it during receipt of the vehicle).

ATI failed to provide a revised quote/booking confirmation after the fifth vehicle was rejected at the pier, and it appears ATI never issued a cancellation of the booking,

³⁰ TRT is "fully licensed for full US trucking, air and ocean freight shipping" and "offer[s] a service of transporting automobiles inland and overseas." <http://usatrt.com/Home/LogisticServices>.

³¹ Claim, Ex. 2. The document issued has an invoice number, but the information within the document is similar to a booking confirmation. A similar invoice was issued for the first shipment. *See* Claim, Ex. 5.

both of which are common industry practice. It is not likely that Respondent would have charged the rate the same after Grimaldi had rejected Claimant's vehicle; the attempt to tender the vehicle to Grimaldi took place well after thirty days from when the original invoice/booking was issued.

The evidence shows that ATI offered to explore the possibility of co-loading Claimant's vehicle in a container with other NVOCC's shippers on May 2, 2013. Yet none of the evidence supports finding that ATI actually did so. From the evidence submitted it is unclear why ATI required Claimant to load multiple vehicles in a container. Presumably, ATI could have provided a new quote for shipping the vehicle by itself in a twenty-foot equivalent unit container, without needing co-loading or consolidation. ATI also failed to provide any details why the vehicle was initially rejected by Grimaldi and neither party explored repairing the vehicle to see if the rejection could be remedied. ATI never notified the Claimant that it had attempted and failed to find other shippers with whom to co-load or that it was cancelling the shipment, nor did ATI send monthly invoices for accruing storage charges. *See Petra Pet, Inc. v. Panda Logistics Ltd.*, 2012 FMC LEXIS 33, at *60 (I.D. 2012) (discussing failure of an OTI to notify consignee when the shipment was aborted and such a failure to notify is a violation of section 41102(c)). The evidence shows that Claimant tried in July 2013 and September 2013 to inquire about the status of his vehicle, explore other shipping options, and obtain an invoice from ATI, to no avail. ATI and its agent, TRT, both failed to observe and enforce reasonable practices.

Furthermore, ATI's invoicing of March 19, 2013, was incorrect. The 56 days of storage appear because the *Grande Gabon's* sailing date was April 19, 2013. The 56 days

began to toll on February 22, 2013 and ended on April 18, 2013. If Claimant had been given 30 free days of storage, as indicated in Ms. Monsalve's email, Claimant should have been charged storage starting March 8, 2013, for a total of 42 days. The total charges should have been \$210, thus Claimant was overcharged \$70.³² ATI continued to mischarge Claimant for storage on December 17, 2013, when Mr. Furfaro quoted Claimant that there were 328 days of storage. He then deducted Claimant's April payment as a deposit. Claimant's payment on April 5, 2013, not only included storage charges, but freight, gate fees, and delivery charges. Claimant had already paid for storage up to April 19, so that was an additional 256 days to December 31 for a total of \$1,280 owed in storage charges. If ATI had then credited Claimant the freight charges of \$900 for the ocean transportation it did not provide (still keeping the TRT gate fees and delivery charges because the car did enter the warehouse and at some point taken to Grimaldi and returned to TRT), he would have owed ATI \$380, not \$1,280,³³ to obtain release of vehicle.

Failure by the NVOCC to "carry out the obligation it was paid to perform" may constitute a violation of section 41102(c). *Bimsha Int'l*, 32 S.R.R. at 1866-67. For this particular shipment, ATI received the shipping instructions on March 13, invoiced Claimant on March 19, and Claimant paid the invoice after some protests on or around April 5. ATI did not notify Claimant until May 1 that his vehicle had been rejected for loading aboard Grimaldi's vessel on April 19. As previously discussed, Mr. Furfaro offered two options to Claimant after Grimaldi rejected the fifth vehicle: Claimant could provide three more cars and ship them in one container, or ATI could consolidate the

³² Respondent states there was a \$50 "in and out" charge, but the invoice included a delivery charge for \$100 and a TRT gate fee of \$75.

³³ This amount does not deduct the \$70 Claimant was overcharged for storage charges initially.

single car with those from another NVOCC. Mr. Furfaro failed to respond to Claimant between May 2 and October 23 -- almost six months. Claimant paid Respondent freight charges in a timely manner, on April 5, two weeks before the vessel was to sail on April 19, but chose to keep those funds as a deposit toward the accruing storage charges. Respondent's justification, that it did not trust other shippers in the trade lane, is not sufficient evidence to demonstrate Respondent reasonably explored other options as it had committed it would in its email to Claimant. If these were truly the facts, then Respondent promptly should have notified Claimant it had been unable to find a reputable company and Claimant should come to collect his vehicle. I find Claimant has shown by a preponderance of the evidence that ATI violated 46 U.S.C. § 41102(c) of the Shipping Act by failing to observe and enforce just and reasonable practices related to and connected with the receiving, handling, and storing of property and that Claimant continues to suffer an injury as a result of the violation.

C. Reparations

Claimant seeks reparations in the amount of \$11,380. This amount includes: \$1,100 for storage charges Claimant paid IAA, \$280 for the 56 days of storage paid to ATI, and \$10,000 for lost profit and damages. Claimant states that ATI unlawfully charged him \$3,280, when Claimant asked Respondent what it would cost to obtain release of his vehicle in December 2013.³⁴ Claimant also seeks the immediate shipment of his vehicle aboard a Grimaldi vessel.

³⁴ In an email dated December 17, 2013, Mr. Furfaro states, "as of Dec 31, there will be 328 days of storage," which means ATI was charging storage from the first day the fifth vehicle entered TRT's warehouse. Mr. Furfaro stated \$3,280 was the total and deducted the \$1,355 previously paid by Claimant, but the total is incorrect. It is not clear how Mr. Furfaro computed \$3,280 to be the total, when 328 days of storage at \$5 per day totals \$1,640. As previously discussed, in ATI's Response Mr. Furfaro mentions a \$50 in and out charge, which may be the \$100 delivery charge on the March 19 invoice. Even if I were to include that charge and the TRT gate fees, the total would be \$1,815. I can only speculate that ATI's Mr.

Award of reparations to Claimant is not automatic. To receive reparations, a Claimant must prove "with 'competent evidence' that the violation of the law was the proximate cause of the loss or injury with 'reasonable certainty'." *Rose Int'l, Inc. v. Overseas Moving Network Int'l Ltd.*, 29 S.R.R. 119, 187 (2000). See also, e.g., *Portman Square Ltd. – Possible Violations of Section 10(a)(1) of the Shipping Act of 1984*, 28 S.R.R. 80, 84 (I.D.) (admin. final March 16, 1998); *Waterman Steamship Corp. v. General Foundries, Inc.*, 26 S.R.R. 1173, 1180 (I.D.), adopted in relevant part, 26 S.R.R. 1424 (1994) (all stating that to prevail in a claim for reparations a claimant must substantiate allegations by a preponderance of the evidence). The Commission will not award damages if they are speculative or based on unreliable evidence. See *Adair*, 26 S.R.R. 11, 25-26 (ALJ 1991). Claimant failed to provide any evidence to show him or his business lost profits valued at \$10,000. This amount is highly speculative, cannot be reliably established by the evidence submitted, and therefore does not provide the basis for reparation. This portion of the claim is denied for lack of evidence.

In regards to the first set of storage charges incurred for the first shipment, \$1,100 in reparations are denied because the violation had not yet occurred. In regards to storage charges assessed for the second shipment, Claimant paid for 56 days of storage when he should have had to pay for 42 days of storage, causing an overcharge of \$70. Claimant has shown that he was invoiced an incorrect amount and this amount was the basis for which ATI continued to hold his vehicle. Claimant should not be responsible for the storage charges of his vehicle from April 19, 2013 to December 18, 2013. On December 18, 2013, ATI finally stated that the TRT warehouse was not ATI's warehouse and ATI

Furfaro was trying to charge \$10 per day for storage for 328 days, although ATI's Response states the rate was \$5/day. Response at 2.

would not co-load the vehicle because it did not trust other NVOCCs who ship in that trade lane.

At the same time, the evidence does indicate that the storage amount quoted by Mr. Furfaro was incorrect. The continued hold of Claimant's vehicle and the storage charges incurred are a direct result of ATI's violation of the Shipping Act. ATI violated 46 U.S.C. § 41102(c) by failing to provide accurate and proper documentation, failing to receive the fifth vehicle properly, failing to promptly notify Claimant of Grimaldi's rejection or that ATI had been unable to find other shippers, and failing to respond repeatedly to Claimant's requests for the status of his shipment, such that ATI failed to observe and enforce just and reasonable practices it and its agent had established. As a result of ATI's violation, Claimant is not required to pay the storage charges from April 19, 2013 to December 31, 2013. *See Best Way USA, Inc. v. Marine Transport Logistics*, 33 S.R.R. 13, 15 (FMC 2013) (Commission upholds the Settlement Officer's decision that Respondent was not entitled to collection of payment for certain charges.)

Mitigation is a principle used in damages analysis to prevent a party from recovering damages for losses it could have reasonably avoided without an undue risk or burden, and is one applied by the Commission. *Minkoff v. Clark Transfer, Inc.*, 841 F. Supp. 424 (D.D.C. 1993), *appeal dismissed*, 1994 WL 189001 (D.C. Cir. 1994); *California Shipping*, 25 S.R.R. at 1231. After December 18, 2013, Claimant should have made arrangements to pick up the fifth vehicle as soon as he knew Respondent would not complete the shipment. He should have paid the storage charges, even if incorrect, and then filed his claim with the Commission. I therefore find Claimant is responsible for storage charges from December 19, 2013 to May 19, 2014, the date of his claim. The

total charges Claimant should pay are for 151 days of storage, which would be a total of \$755, less the \$70 he was overcharged, and the \$900 he paid for freight charges for ocean transportation that was never provided. Reparations in the amount of \$215 are due.

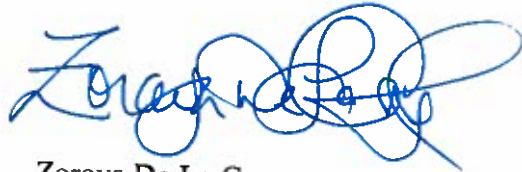
It is beyond the authority of this Settlement Officer to order the specific performance requested, i.e., for ATI to ship the vehicle. I therefore deny this part of Claimant's request. 46 C.F.R. §502.301(a). "A cease and desist order may be issued when there is a violation of the Shipping Act." *Geo Machinery Fze v. Watercraft Mix, Inc.*, Inf. Dkt. 1935(I), 32 S.R.R. 1673, 1677 (2013) (citing *Exclusive Tug Franchises – Marine Terminal Operators Serving the Lower Mississippi*, 29 S.R.R. 718, 720 (ALJ 2001)), *aff'd* 33 S.R.R. 329 (FMC 2014)); *see also*, *Universal Logistic Forwarding Co. Ltd. – Possible Violations of Section 10(a)(1) and 10(b)(1) of the Shipping Act of 1984*, 29 S.R.R. 474, 476 (FMC 2002). ATI's basis for the hold on Claimant's vehicle is unlawful because Claimant does not owe additional storage charges³⁵ and the incorrect invoicing is directly related to ATI's violation of 46 U.S.C. §41102(c). The unlawful hold is ongoing in nature and constitutes a continuing violation of the Shipping Act; ATI is ordered to release Claimant's vehicle. This order is specifically related to the ongoing violation. *Id.*

CONCLUSION

I find ATI violated 46 U.S.C. §41102(c), Section 10(d)(1) of the Shipping Act of 1984, as amended, and Claimant is granted reparations in the amount of \$215. Respondent is ordered to cease and desist from further violations of the Shipping Act by releasing Claimant's vehicle.

³⁵ *Id.*, at n. 6 (citing *Marcella Shipping Co. Ltd.*, 23 S.R.R. 857, 871-72 (ALJ 1986)).

Claimant is entitled to receive compound interest on the monetary award, as mandated by Rule 253 of the Commission's Rules of Practice and Procedure, and will receive notice of the amount to be paid as interest when the Commission issues its final action in this proceeding.



Zoraya De La Cruz
Settlement Officer